



Customer Prepayment Invoice Feature in Dynamics 365 Finance Release 10.0.44

A Step-by-Step Guide

Prepared By: Ahmad Barbar

What are Customer Prepayment Invoices?

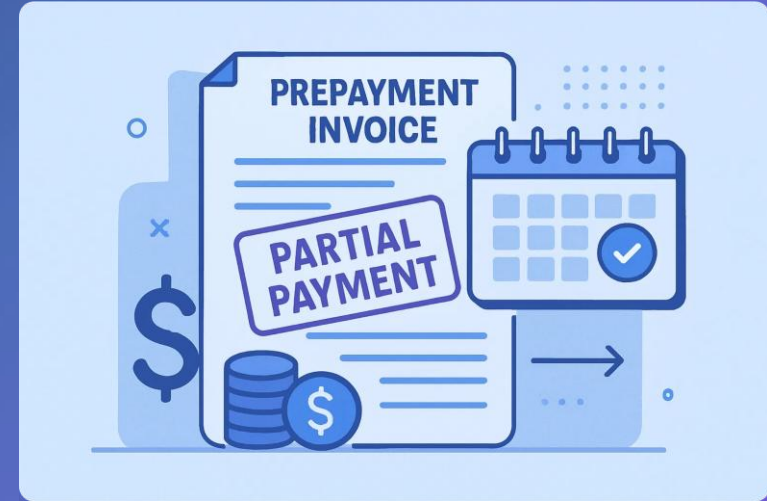


Customer prepayment invoices in Dynamics 365 Finance allow businesses to request and record payment from customers before delivering goods or services.

Key Benefits:

- Improved cash flow management
- Reduced financial risk
- Proper accounting of advance payments
- Streamlined order fulfillment process

The prepayment amount can be either a percentage of the total order value or a fixed amount agreed upon with the customer.



Types of Prepayment Processes



Prepayment as a Deposit

The buyer makes an initial partial payment to secure goods, services, or a contract.

- ✓ Partial payment as percentage or fixed amount
- ✓ Functions as a billing document
- ✓ Final invoice reflects full sales order amount
- ✓ Currently supported in Dynamics 365 Finance

Prepayment Invoice as a Tax Invoice

The seller issues a real prepayment invoice including applicable sales taxes.

- ✓ Includes sales taxes if applicable
- ✓ Buyer pays invoice amount up front
- ✓ Final invoice shows outstanding amount only
- 🕒 Planned for future release

Note: In the current release, only the "Prepayment as a deposit" scenario is supported.

Setting Up Prepayment Invoices



- 1 Enable the **Prepayment customer invoice** feature in Feature management
- 2 Set up default ledger account for posting in **Inventory management > Setup > Posting**
- 3 Configure **Accounts receivable parameters** for prepayment settings
- 4 Select prepayment application policy: **Notification** or **Automatic**
- 5 Set up number sequences for prepayment invoices and related transactions
- 6 Configure process automations for prepayment settlement

The screenshot shows the SAP configuration interface for prepayment invoices. It is divided into two main sections: Feature Management and Accounts Receivable Parameters.

Feature Management:

- Header: Feature management, Do not enable new features automatically.
- Filter: prepay
- Table:

Feature name	Status	Enable date	Feature added	Feature state	Module
Prepayment customer invoice feature	On	9/15/2025	10/10/2024	Active	Accounts receivable

Accounts Receivable Parameters:

- Standard view: Posting
- Navigation: Sales order, Purchase order, Inventory, Production, Standard cost variance
- Select: ☒ All
- Item code: All, Item relation: All, Category relation: All, Account code: All, Account relation: All, Sales tax group: 2010200009, Main account: 2010200009
- Section: Accounts receivable parameters
- Sub-section: Set up requirements for delivery, picking lists, packing slips, and invoices
- Options: ☒ Notification, ☐ Automatic
- Check for process number used: ☒ Yes
- Check for process number used: ☒ Yes

Prepayment Invoice Process Overview



The customer prepayment process in Dynamics 365 Finance follows these key steps:

1
Define a
prepayment value
on the sales order

2
Confirm and post a
prepayment
invoice

3
Settle the prepayment
invoice when payment
is received

4
Apply the
prepayment invoice
to the final invoice

Prepared By: Ahmad Barbar

Step 1: Create a Prepayment Proposal



When creating a sales order, you can define the prepayment amount by following these steps:

- ➔ From the sales order, navigate to **Invoice > Prepayment** and select **Payment proposal**
- ✓ Select the prepayment type: **Percentage** or **Fixed**
- \$ Enter the prepayment value or percentage and review the total prepayment amount
- 🏷 Select the appropriate sales category to determine the revenue account

Prepayment Types

Percentage: Specify a percentage of the total order value

Fixed: Enter a specific amount (cannot exceed the sales order amount)

Finance and Operations

Search for a page

000860 : Contoso Retail San Diego

Links: Header

Sales order header

DELIVERY ADDRESS: Contoso Retail San Diego

DELIVERY DATE: 9/15/2025

REFERENCES: Customer reference

DISCOUNTS: Total discount % 0.00

WAREHOUSE: Warehouse

TRANSPORTATION: Route

Sales order lines

Line	Line number	Item number	Product name	Sales category	CW country	CW unit	Quantity	Unit	Delivery type	CW date	Adjusted u.	UOM	Warehouse	Unit price	Discount	Discount %	Net amount	Adjusted amount
1	1	1000	Surface Pro 128 GB	Surface Pro	CW	unit	1.00	ea	Stock	9/15/2025	0.00000	1	1,900.00	1,900.00	0.00	0.00	1,900.00	1,900.00

Finance and Operations

Search for a page

000860 : Contoso Retail San Diego | Standard view

Prepayment proposal

Header

Total amount: 1,900.00

Prepayment type: Percentage

Prepayment value: 10.00

Total prepayment amount: 190.00

Sales category: Surface Pro

Lines

Line	Line number	Item number	Quantity	Unit price	Net amount
1	1	1000	1.00	1,900.00	1,900.00

[🏠](#)
[🔍](#)
[Edit](#)
[+ New](#)
[+ Delete](#)
[Sales order](#)
[Sell](#)
[Manage](#)
[Pick and pack](#)
[Invoice](#)
[Commerce](#)
[General](#)
[Warehouse](#)
[Transportation](#)
[Credit memo](#)

Generate

Invoice

Proforma invoice

Bill

Payment forecast

Cash flow forecast

Settle

Open transactions

Correct

Credit invoicing

Approve

Invoice

Engagement

Headquarter accounts

Engagement invoice

Order form

Attach credit to debitline

Order copy from flow reduction



[View order details](#)
[My sales](#)

000860 : Contoso Retail San Diego

[Lines](#)
[Header](#)

Sales order header

DELIVERY ADDRESS

Name

Contoso Retail San Diego

Delivery address

Contoso Retail San Diego

Address

450 Peach Road

San Diego, CA 92114

USA

DELIVERY DATE

Requested ship date

9/15/2025

Requested receipt date

9/15/2025

Simulate delivery date

Confirmed ship date

Confirmed receipt date

REFERENCES

Customer reference

Customer requisition

DISCOUNTS

Total discount %

0.00

WAREHOUSE

Warehouse initial

Open

- Finance and Operations**

Search for a page

LOSP® | Contoso Entertainment System

Original document Accounting source explorer Review transactions Reversal tracing Rejected vouchers All related vouchers View reversal history

View

Sales order
Voucher
Account

Payment invoice | 00000 - Contoso Retail San Diego | Standard view

Lines Header

Name	Invoice account	Date	Payment invoice	Payment status
Contoso Retail San Diego	101-001	9/16/2021		Open

Invoice lines

+ Add line Remove

Description	Line number	Amount	Sales category	Sales tax group	Rent sales tax group	Currency	Base amt.	Tax amount	Override s...
Payment invoice line	1.000000000	190.00	Sales hierarchy			USD	190.00	0.00	

Financials and Operations

Search for a page

Home > Ledger > General > Transaction entry > Transactions > Audit trail > Edit voucher > Posted sales tax > Original document > Accounting source explorer > General transactions > General posting > General vouchers > All related vouchers > View reversal history

Voucher Transactions

Standard view

Overview: General

1 Year closed

Journal no.	Voucher	Date	Order account	Account name	Description	Currency	Amount dr...	Amount	Posting type	Posting layer	Vendor account	Vendor name	Customer account	Customer name
021440	US-01-02	9/16/2025	121501-001	Prepayment of Service...	Prepayment invoice	USD	-100.00	100.00	Customer prepayment	Current			US-001	Customer Retail
021440	US-01-02	9/16/2025	131001-001	Accounts Receivable - Cu...	Prepayment invoice	USD	100.00	100.00	Customer balance	Current			US-001	Customer Retail

Step 3: Settle the Prepayment Invoice



Navigate to **Accounts receivable > Payments > Customer payment journal**



Create a new payment journal and enter the payment details



Select **Functions > Settlement** to open the settlement page



Mark the prepayment invoice for settlement and click **Post**

Status Change: After settlement, the prepayment invoice status changes from **Pending** to **Settled**, indicating it's ready to be applied to the final invoice.

Step 4: Apply to Final Invoice



When goods or services are delivered, create the final invoice for the total sales order amount



The system applies the prepayment automatically or manually based on your setup in Account receivable parameter > Update > Invoice



The customer pays only the remaining balance (total invoice amount minus prepaid amount)



Prepared By: Ahmad Barbar